

Texas WIC Health and Human Services Commission

Effective July 1, 2026

Policy No. FD:18.0

Drop Shipment of Formula

Purpose

To outline the policy for drop shipment of exempt formulas.

Authority

7 CFR 246.12

Policy

Drop shipping formula is a means of providing an approved exempt formula to WIC participants when the formula is not typically available or cannot be easily acquired from a local WIC authorized vendor. All exempt formulas with an approved medical request are eligible for drop shipment delivery either to the WIC local agency, or directly to the parent/guardian/caretaker.

Definitions

Assign benefits – the process of adding approved food and formula to a participant food package before uploading them into the Electronic Benefit Account.

Contract formula – Formula for which manufacturers submit a bid to the WIC State Agency (SA) in response to a rebate solicitation and for which a contract is awarded by the SA as a result of that bid. Refer to the Texas WIC Formulary for an up-to-date list of contract formulas.

Drop shipment – The process of ordering exempt formula from a WIC-approved and authorized drop ship vendor and having that formula shipped to the WIC local agency or directly to the parent/guardian/caretaker.

Electronic Benefit Account (EBA) – The account where food benefits are being held for redemption.

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Exempt formula – Therapeutic formula intended and labeled for use by individuals with specific medical and/or dietary conditions. All exempt formulas are non-contract formulas.

Formula Benefit Update – A change in the type or quantity of formula loaded to a participant’s EBA for redemption at a WIC vendor or via drop shipment.

Home delivery – Drop shipping formula directly to the parent/guardian/caretaker’s preferred physical address from an authorized pharmacy or durable medical equipment retailer (DME), as defined in [WV:10.0](#).

Non-contract formula – Formula not covered under the current rebate contract for Texas WIC.

WIC Authorized Vendor – A sole proprietorship, partnership, cooperative association, corporation, or other business entity operating one or more stores authorized by the SA to provide authorized supplemental foods and/or formula to WIC participants under a retail food delivery system.

WIC-Eligible Nutritionals – Certain enteral products that are specifically formulated to provide nutritional support for individuals with a qualifying condition, when the use of conventional foods is precluded, restricted, or inadequate. Such WIC-eligible nutritionals must serve the purpose of a food, meal, or diet (may be nutritionally complete or incomplete) and provide a source of calories and one or more nutrients; be designed for enteral digestion via an oral or tube feeding (e.g., Pediasure); and may not be a conventional food, drug, flavoring, or enzyme.

Procedures

- I. Preparing a Drop Ship Order
 - A. Approve the exempt formula and contact a WIC approved drop ship vendor to confirm formula availability.

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- B. Drop ship to the clinic is the preferred method for delivery. Delivery to a parent/guardian/caretaker's preferred physical address should be a mutually agreed upon decision with the understanding that an adult will need to be available to receive the formula delivery.

Staff should offer parent/guardian/caretaker the option for exempt formula to be drop shipped directly to the parent/guardian/caretaker's preferred physical address when:

1. The family has significant transportation barriers that impede timely redemption, and/or
2. The family's residence is in an area that has limited or no access to WIC approved vendors who supply exempt formulas, and/or
3. The parent/guardian/caretaker has special health care needs (as defined in CR:07.0, effective April 1, 2026) whose condition limits their ability to make routine outings, and/or
4. There is a nationwide, statewide, regional, or local emergency or disaster that limits the family's ability to access WIC approved vendors who supply exempt formulas.

II. Placing a drop ship order

- A. Create the drop ship order in the management information system (MIS), including assigning benefits and uploading them into the EBA. In shipping instructions, document:
1. Staff contact information.
 2. Indicate participant's preference for flavor(s).
 3. If clinic delivery, include relevant information such as hours of operation, suite number or building entrance. Formula cannot be left outside.
 4. If home delivery, list parent/guardian/caretaker's preferred physical address. Staff must request in the instructions that a

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signature is required, and the formula should not be left outside.
Formula may not be shipped to a P.O. Box.

- B. Release the drop ship order in the MIS. For releasing future benefit month orders, refer to guidance in Procedure XI, *Processing Subsequent Drop Ship Orders*.

III. Order Delivery

- A. For clinic delivery:

- 1. Check that orders are accurate, free from damage, and have acceptable expiration dates.
 - 2. Receive in the MIS. Confirm and enter the Universal Product Code (UPC), quantity and expiration date(s).

- B. For home delivery:

- 1. Confirm with the parent/guardian/caretaker that the formula was accurate, free from damage, and has acceptable expiration dates.
 - 2. Receive in the MIS. Confirm and enter the UPC, quantity and expiration date(s). Document in the Notes section of the Orders page that receipt was verbally confirmed by participant via phone, email, or uploaded delivery slip.
 - 3. In the event staff are unable to reach the parent/guardian/caretaker to confirm delivery, verify delivery information with the tracking information and state formula team. Document in the Notes section of the Orders page that the delivery information was provided by the vendor.

IV. Issue the drop shipped formula to the parent/guardian/caretaker in the MIS. This includes completing the electronic signature.

- A. If the formula was drop shipped directly to the parent/guardian/caretaker:

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1. Perform the "Issue" function only if the formula was delivered within the associated order month.
2. Indicate home delivery in the electronic signature.

V. Partial Orders

- A. Partial orders will occur if the number of formula containers delivered is less than the quantity initially released. Staff should call the vendor to determine when the remaining quantity of formula will be delivered.
 1. If the remaining formula will arrive within 48 hours, staff should wait until all formula is delivered before issuing the full quantity.
 2. If the formula is backordered or will be unavailable for an extended period within the benefit month, staff can receive and issue the reduced amount of formula that has been delivered in the MIS. This will generate a second partial order for the remaining quantity of cans.
 3. Release the second order if the vendor has confirmed they will be able to fulfill the delivery within the benefit month.
 4. If the vendor is unable to fulfill the delivery of the remaining cans within the benefit month, staff must cancel the partial order and document the reason for cancellation in the Notes section of the Order in the MIS.

VI. Damaged Orders

- A. If cans are damaged upon arrival at the clinic or home, photos should be taken as proof of damage and provided to the state formula team and the vendor.
 1. Coordination of replacement cans should occur with the vendor and may be subject to availability or shipping constraints within the benefit month.
 2. Contact the state formula team for assistance as needed.

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VII. Lost/Stolen Orders

Staff assisting clients who have reported lost or stolen drop ship formula should contact the state formula team for guidance at FormulaTeam@hhs.texas.gov.

VIII. Returned Orders

- A. Staff must select Vendor Return on any clinic drop ship order that the clinic plans to ship back to the vendor. Home deliveries are not eligible for vendor returns and should follow guidance outlined in Policy [FD:19.0](#).
 - 1. Confirm the return shipping address with the vendor.
 - 2. Upload the return tracking number or a copy of the shipping label into the MIS. Note the date of return in the notes section of the drop ship order.
 - 3. Ship the formula to the vendor using the Local Agency's shipper of choice. Any costs incurred to return clinic drop shipments are WIC-allowable. See Policy [AC:02.0](#) for guidance.

IX. Cancelled Orders

- A. Clinic documentation and resolution:
 - 1. Home drop ship orders in shipped status must not be cancelled before resolution. Staff should instruct parent/guardian/caretaker to return the formula to the clinic first if the formula is no longer needed. After the formula is returned to the clinic, staff must follow guidance outlined in [FD:19.0](#).
 - 2. Document the reason for cancellation of a clinic drop ship order and the plan for resolving shipped formula in the notes section of the drop ship order. Resolution options for clinic drop ship include:
 - a. Vendor Return
 - b. Use for the family's next benefit month.

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- i. Vendor and State Formula Team must approve the resolution first.
 - ii. Document the specific order number and EBA account number the formula will be used for.
 - iii. On the next benefit month's shipping instructions, write 'do not ship' if the formula name and quantity are the same.
 - B. Drop ship formula may not be held in the clinic for more than one benefit month.
- X. Formula Exchanges and Formula Benefit Updates
 - A. Confirm there are no open drop ship orders (New, Released, Shipped, Received) before completing a formula exchange or formula benefit replacement.
 - B. Resolve open drop ship orders following guidance in Procedures VIII, *Returned Orders* and IX, *Cancelled Orders*.
 - C. Refer to Policy [FD:19.0](#) for procedures on formula exchanges.
- XI. Processing subsequent drop ship orders
 - A. Confirm with the parent/guardian/caretaker that the approved formula and quantity is still needed before releasing the order.
 - B. Release the order.
 - 1. For clinic delivery, release the order up to seven to ten business days prior to the next benefit month.
 - 2. For home delivery, release the order no earlier than one business day prior to the next benefit month.
- XII. Handling and Storage of Drop Ship Formula
 - A. Only staff who are trained and designated to issue drop ship formula orders should access, handle, and issue the formula.
 - B. Formula packages shipped to the clinic must be stored in a secure location with controlled access.

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- C. Drop ship formula may not be held in the clinic for more than one benefit month.
- D. Clinics should educate any non-WIC staff involved in the handling and storage of drop ship formula. Examples of non-WIC staff include parent agency staff, contractors, or warehouse coordinators.
 - 1. Storage of formula packages in a secure location with controlled access.
 - 2. WIC formula can only be disposed of by WIC staff in accordance with Policy [FD:19.0](#).

For questions or troubleshooting, contact the state formula team at FormulaTeam@hhs.texas.gov.